

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

MAVL CAPITAL INC., IAM & AL GROUP INC., AND MAXIM OSTROVSKIY, *Complainants*

v.

MARINE TRANSPORT LOGISTICS, INC. AND DMITRY ALPER, *Respondents.*

**DOCKET NO. 16-16**

Served: September 29, 2021

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**BEFORE:** Erin M. WIRTH, *Chief Administrative Law Judge.*

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**INITIAL DECISION ON REMAND<sup>1</sup>**

**I. INTRODUCTION**

**A. Overview and Summary of Decision**

Complainants MAVL Capital Inc. (“MAVL”), IAM & AL Group Inc. (“IAM”), and Maxim Ostrovskiy commenced this proceeding by filing a complaint alleging that Respondents Marine Transport Logistics, Inc. (“MTL”) and Dmitry Alper,<sup>2</sup> violated the Shipping Act of 1984 (“Shipping Act”) with regard to two vehicles and three motorcycles. As discussed below, Complainants allege that Respondents violated section 41102(c) “by exercising a purported maritime lien for monies allegedly owed to third parties, and by detaining, misdelivering, and converting Complainants’ automobiles in order to sell them overseas for a profit.” Complaint at 8-9.

Respondents filed answers denying the allegations and raising defenses. Respondent Alper asserts that he was an employee who acted within the scope of his employment. Alper Answer at 6. Respondent MTL argues, in relevant part, that Complainants abandoned the vehicles so “MTL had no choice but to find a dealer who would cover outstanding storage,” and that “MTL was entitled to exercise a lien over the subject vehicles as MTL is not a storage company, and vehicles generally are stored short term in contemplation of export.” Remand Opposition at 2-4; MTL Response to CPFF at 3 ¶ 24.

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<sup>1</sup> This initial decision on remand will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

<sup>2</sup> Mr. Alpers’ name is Vadim Alper but he is also known as Dimitry Alper. CApp., Vol. 1, Appendix M at 6-7.

On January 17, 2017, a partial initial decision dismissed the claims for all but the Porsche Panamera. Initial Decision at 28, 2017 FMC LEXIS 4 (ALJ Jan. 17, 2017) (“I.D.”). On January 27, 2017, an order was issued staying the proceeding on the Porsche claim until the Commission ruled on exceptions to the partial initial decision. On October 29, 2020, the Commission issued a memorandum opinion and order remanding the section 41102(c) claim regarding the Mercedes SL65 for further proceedings. Memorandum Opinion and Order at 18, 2020 FMC LEXIS 216 (FMC Oct. 29, 2020) (“Commission Order”). This triggered the end of the stay of the Porsche claim. The parties were provided time to complete discovery and brief the remaining issues.

As discussed more fully below, MTL asserted a lien and liquidated the vehicles based upon the terms of its standard house bill of lading which documents its normal business practice that “the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant.” CApp., Vol. 1, Appendix F, Ex. E at DEF 286.<sup>3</sup> Complainants have established that the regulations and practices identified in MTL’s house bill of lading, which form the justification for the liquidation of the Mercedes and Porsche vehicles without sufficient notice or legal process, are unreasonable. Accordingly, Complainants have established by a preponderance of the evidence that MTL violated the Shipping Act. However, although the evidence supports a finding that the Commission has jurisdiction over MTL, Complainants do not argue or present evidence that would support piercing the corporate veil to find that Respondent Alper violated the Shipping Act. In addition, the evidence does not support awarding reparations.

## **B. Procedural History**

### **1. Initial Decision**

Complainants filed their complaint on August 5, 2016, and Respondents filed their answer on August 31, 2016. Prior to discovery, the parties were instructed to show cause why the complaint should not be partially dismissed.

On January 17, 2017, an initial decision was issued partially dismissing the complaint.

The ALJ addressed the Mercedes and motorcycle claims in an Initial Decision Partially Dismissing the Complaint (Initial Decision or I.D.). The ALJ dismissed

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<sup>3</sup> The following documents are cited in this decision:

CApp.: Complainants’ Remand Brief Appendix, Volumes 1-4, filed March 17, 2021.  
CApp./Sanct.: Complainants’ Motion for Discovery Sanctions Appendix, filed January 27, 2021.  
CPFF: Complainants’ Remand Brief (Proposed Findings of Fact), filed March 17, 2021.  
CR/OTSC: Complainants’ Response to Order to Show Cause, filed October 3, 2016.  
CR/RPFF: Complainants’ Response to RPFF, filed May 5, 2021.  
MTL App.: Respondent MTL’s Appendix, filed April 20, 2021.  
R/CPFF: Respondent MTL’s Responses to CPFF, filed April 20, 2021.  
RO/Sanct.: MTL’s Opposition to Motion Seeking Sanctions Exhibits, filed February 2, 2021.  
RPFF: Respondent MTL’s Statement of Proposed Facts, filed April 20, 2021.

the § 41102(c) claim regarding the Mercedes for lack of jurisdiction and failure to state a claim. The ALJ dismissed the § 41104(a)(3) claim regarding the motorcycles for failure to state a claim. The ALJ dismissed all remaining claims regarding the Mercedes and motorcycles as abandoned because Complainants did not address those claims in responding to the ALJ's show cause order. Complainants filed exceptions to some, but not all, of the ALJ's findings.

Commission Order at 2. On January 27, 2017, the remaining claims were stayed pending the Commission's decision on exceptions to the initial decision.

## **2. Commission Order**

On October 29, 2020, the Commission Order remanded the section 41102(c) claim regarding the Mercedes for further proceedings. The Commission, in relevant part, (1) reversed "the dismissal of the § 41102(c) claim regarding the Mercedes and remand[ed] that claim for further proceedings" (2) affirmed "the dismissal with prejudice of the § 41104(a)(3) claim regarding the motorcycles;" and (3) affirmed "the dismissal with prejudice of the § 41104(a)(10) claim regarding the Mercedes." Commission Order at 18.

Based on the allegations in the complaint, the Commission discussed the Mercedes, stating:

In December 2012, MAVL imported a 2006 Mercedes SL65 from Germany, retained MTL as the "receiving agent," and had the vehicle delivered to MTL's New Jersey warehouse. *Id.* ¶¶ 27-29.2. Complainants imported the Mercedes "so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas." *Id.* ¶ 27. Mr. Ostrovskiy informed MTL of this plan when MAVL stored the Mercedes in December 2012, but he did not specify a timeline or proposed shipping date at that time. *Id.* ¶ 29; Ostrovskiy Certif. ¶¶ 7-10. Mr. Ostrovskiy provided MTL with the certificate of title which is required for export. Ostrovskiy Certif. ¶ 9.

MTL charged MAVL for storage of the Mercedes pursuant to MTL's NVOCC tariff. *Id.* ¶ 4. The storage charges that MTL imposed were consistent with MTL's tariff charges for cargo earmarked for export. *Id.* ¶¶ 4, 11. For example, MAVL received 30 days free storage allowed under the MTL tariff for vehicles "received for US export shipment." *Id.*; Complainants' Show Cause Resp. App. A (MTL Tariff, Rule 2-140). "Beyond 30 days," MTL's tariff establishes rates of \$10.00 per day for vehicles stored at its Bayonne, New Jersey facility. *Id.* The MTL tariff also links 30 days free storage to the need to provide the carrier with the vehicle title without which the "vehicle will not be loaded into a container." *Id.* Following the initial 30-day period, MTL discounted the storage rates for the Mercedes by fifty percent, which Mr. Ostrovskiy attributed to the "parties' ongoing business relationship." Ostrovskiy Certif. ¶ 12.

Six months after the Mercedes arrived in MTL's New Jersey facility, Mr. Ostrovskiy asked MTL to produce the Mercedes for his inspection, but MTL

failed to do so. *Id.* ¶ 13. Whereupon Mr. Ostrovskiy directed MTL to release the Mercedes and ship it to Dusseldorf, Germany. *Id.* ¶¶ 14-15. Several months later, Mr. Ostrovskiy learned that MTL had not followed these instructions, but had in fact shipped the Mercedes to Dubai without his knowledge or consent for the purpose of selling it and keeping the proceeds. *Id.* ¶¶ 16-17. According to Complainants, MTL has refused to provide them with documents verifying the sale of the Mercedes or confirming the details of the alleged sales transaction. Compl. ¶¶ 31-35. MTL claimed that the Mercedes was seized and sold consistent with its house bill of lading under a maritime lien for outstanding charges. Ostrovskiy Certif. ¶¶ 5-6.

Commission Order at 3-4 (footnote omitted).

The Commission stated that “[p]roperly framed, the question is whether Respondent MTL was a common carrier with respect to the allegations regarding the Mercedes.” The Commission concluded:

In sum, at this stage of the proceedings, Complainants have adequately alleged that MTL was acting as an NVOCC with respect to the Mercedes. The Commission therefore reverses the ALJ’s dismissal of the § 41102(c) claim regarding the Mercedes and remands it for further proceedings, during which Complainants would need to prove all the elements of their § 41102(c) claim under the Commission’s interpretative regulations at 46 C.F.R. § 545.4.

Commission Order at 13 (footnote omitted).

On October 30, 2020, the parties were ordered to file a joint status report with proposed schedule. On December 10, 2020, a remand scheduling order was issued permitting limited discovery. On February 5, 2021, Complainants’ motion for discovery related sanctions was denied and the schedule was revised. On March 1, 2021, Complainants’ motion to enlarge the time to file their remand brief was granted with the deadline extended to March 9, 2021.

On March 17, 2021, Complainants filed their remand brief with appendix. On March 19, 2021, Complainant filed a motion to accept late filing of Complainants’ brief, proposed findings of fact, and appendix. On March 29, 2021, the scheduling order was amended to account for the late filing of Complainants’ brief. On April 20, 2021, MTL filed its opposition brief, opposition to Complainants’ proposed findings of fact, and proposed findings of fact with appendix. On May 5, 2021, Complainants timely filed their reply brief and response to MTL’s proposed findings of fact.

### **C. Preliminary Issues**

Complainants’ March 19, 2021, motion to accept late filing of Complainants’ brief, proposed findings of fact, and appendix is pending. Respondents have not objected to the late filings and an order dated March 29, 2021, provided Respondents with additional time for their responsive filings. Counsel for Complainants indicates that a medical condition prevented him from timely filing the brief, proposed findings of fact, and appendix. As there has been no objection to the delayed filing and no other delays, good cause is stated. Accordingly,

Complainants' motion to accept late filing of Complainants' brief, proposed findings of fact, and appendix is hereby **GRANTED**.

#### **D. Arguments of the Parties**

Complainants argue that Respondents acted as an ocean transportation intermediary ("OTI") with regard to the Mercedes and Porsche vehicles and that their actions and omissions that violated the Shipping Act are occurring on a normal, customary, and continuous basis; are directly related to and connected with the receiving, handling, storing, and/or delivering of property; are unjust and unreasonable; and are the proximate cause of Complainants' claimed loss. Brief at 33-63.

MTL asserts that it is not a regulated entity with respect to the vehicles; Complainants abandoned the vehicles; MTL did not act unreasonably with respect to Complainants and the subject vehicles; and there is no evidence that the conduct complained of amounts to a practice by MTL. MTL Opposition at 1-7. Respondent Alper has not filed anything since the remand.

In their reply, Complainants assert that MTL was a regulated entity with respect to the subject vehicles; Complainants did not abandon the subject vehicles which were, at the very least, misdelivered by MTL to Dubai; MTL acted unreasonably with regard to Complainants and the subject vehicles; and the conduct by MTL was part of a common custom, practice, and regular manner of MTL doing business. Reply at 5-11.

#### **E. Evidence**

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision on remand is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision on remand addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact on remand are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

## **II. REMAND FINDINGS OF FACT**

The findings of fact in the initial decision and the Commission decision were based upon the allegations in the complaint. At this stage, there must be evidence to support findings of fact. Many facts in this proceeding are disputed and it is not necessary to resolve disputes regarding facts that are not determinative. The record includes voluminous, sometimes contradictory, exhibits which were poorly organized and contain unnecessary duplicates. Only findings of fact relevant to the issues on remand are included.

### **A. Relevant Entities**

1. Complainant MAVL was a New York corporation from 2008 to 2016. RO/Sanct., Ex. 1 at 1.
2. Complainant IAM was an Indiana corporation from 2012 to 2015. RO/Sanct., Ex.1 at 2.
3. Complainant Maxim Ostrovskiy was a principal of MAVL and IAM, which were automobile importers/exporters. CApp., Vol. 3, Appendix II at 1 ¶ 1.
4. According to Mr. Ostrovskiy, MAVL had an on-going business relationship with MTL. CR/OTSC, Ostrovskiy Certif. ¶ 12.
5. Respondent MTL is a New York Corporation licensed as a non-vessel-operating common carrier (“NVOCC”), FMC License No. 018709. [www2.fmc.gov/oti/NVOCC.aspx](http://www2.fmc.gov/oti/NVOCC.aspx) (last visited August 26, 2021).
6. Alla Solovyeva is the sole owner of MTL. CPFF ¶10; R/CPFF ¶¶ 10, 86.
7. Respondent Alper was MTL’s General Counsel and then Director of Operations from 2009 to 2015. CApp., Vol. 1, Appendix C, Ex. 1 at DEF 149; CApp., Vol. 1, Appendix M at 13.
8. Respondent Alper resigned from MTL effective May 1, 2015. CApp., Vol. 1, Appendix C, Ex. 1 at DEF 149.
9. Respondent Alper is the qualifying individual for an ocean transportation intermediary not involved in this proceeding. CApp., Vol. 1, Appendix M at 9-10; *see also* CApp., Vol. 2, Appendix Z (MTL lawsuit against Alper).
10. World Express & Connection, Inc. (“World Express”) is a warehouse company providing loading and storage services for vehicles, boats, and other cargo, including for ocean transportation from the United States to foreign ports. CPFF ¶ 14; R/CPFF ¶ 14.
11. MTL uses World Express as its container freight station/container yard (“CFS/CY”). CPFF ¶ 88; R/CPFF ¶ 88.

12. Car Express & Import, Inc. (“Car Express”) is a New York corporation and is licensed as a car purchaser/dealer. CApp., Vol. 3, Appendix HH at 2.
13. Aleksandr Solovyev is the sole owner, officer, and director of World Express, Car Express, and Royal Finance Group (“RFG”). R/CPFF ¶¶ 11, 12, 13; CApp., Vol. 3, Appendix HH at 1.
14. Aleksandr Solovyev, was married to Alla Solovyeva. *Crocus Investments, LLC v. Marine Transport Logistics*, Docket No. 15-04, Initial Decision on Remand at 8, 2020 FMC LEXIS 238 (ALJ Dec. 9, 2020) (“Crocus Remand ID”) *aff’d* 2021 FMC LEXIS 125 (FMC Aug. 18, 2021) (“Crocus Remand FMC”).
15. At times, Aleksandr Solovyev or one of his companies acted as agent for MTL. CPFF ¶ 18; R/CPFF ¶ 18.
16. MTL accepts automobiles into its possession, custody, and control solely for purposes of export, and never for storage only. CPFF ¶ 68; R/CPFF ¶ 68.
17. MTL moves thousands of containers per year. CApp., Vol. 1, Exhibit F at 2 (DEF 262).
18. MTL Tariff, Rule 2-140, states that a “shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the carrier warehouse in order to allow time to provide the carrier with the vehicle title, absent which the vehicle will not be loaded into a container.” CPFF ¶ 38; R/CPFF ¶ 38; CR/OTSC, Ex. D, App. A at CX 178.

## **B. Findings Related to the Mercedes SL65**

19. Maxim Ostrovskiy states that the Mercedes SL65 was imported to the United States from Germany so that maintenance could be performed and then it would be shipped back to Germany. CR/OTSC, Ostrovskiy Cert ¶ 2.
20. A series of import documents discuss the shipment from the Hanjin Phoenix of an automobile, with the VIN number matching the Mercedes SL65, that arrived on November 13, 2013 (USCBP Entry Summary), an automobile from Germany described as “CAXU6911501” (Kilroy customs broker), where MTL billed Atlantic Cargo Logistics for the same container number “CAXU6911501” (MTL Invoice), and on November 28, 2012, Atlantic Cargo Logistics billed MAVL/Maxim Ostrovski for the same BL No “CAXU6911501.” CApp., Vol. 3, Appendix FF, Ex. A at P0020-P0023.
21. A November 29, 2012, email regarding the Mercedes states that the car was offloaded on November 27th and is on a credit hold until released by Atlantic Cargo Logistics; that a customer showed up without an appointment and was not authorized to take possession; and that there is free storage at MTL until December. MTL App., Ex. 3.
22. In December 2012, Complainants engaged MTL to act as their receiving agent and to store the Mercedes so that maintenance could be performed on it before shipping it back to Germany. CR/OTSC, Ostrovskiy Cert. ¶ 7; CApp., Vol. 1, Exhibit F at 2 (DEF 262).

23. Complainants explained that the Mercedes was to be shipped back to Germany by MTL on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts. CR/OTSC, Ostrovskiy Cert. ¶ 10.
24. An email dated January 11, 2013, from MTL to IAM & IL Group, Inc., with a subject line of “CAXU6911501 storage fee invoice” which states that “Invoice for storage fee is attached. Next invoice for \$150 will be generated on 2/03.” MTL App., Ex. 1 at 5.
25. Complainant Ostrovskiy gave MTL the original Certificate of Title for the Mercedes for presentation to U.S. Customs in order to facilitate export of the Mercedes to Germany. CR/OTSC, Ostrovskiy Cert. ¶ 9.
26. Complainants received thirty days of free storage at MTL’s warehouse. CR/OTSC, Ostrovskiy Cert. ¶ 11.
27. After expiration of the thirty days of free storage, MTL charged Complainants a monthly storage charge of \$150 for the Mercedes. CR/OTSC, Ostrovskiy Cert. ¶ 12; CApp., Vol. 1, Exhibit F at 2 (DEF 262).
28. At some point in 2012 or 2013, Ostrovskiy visited MTL’s warehouse to inspect the Mercedes prior to exporting it to Germany through MTL but the evidence is conflicting regarding the date and whether he saw the vehicle. CR/OTSC, Ostrovskiy Cert. ¶ 13 (June 2013) *but see* R/CPFF ¶ 41 (November 2012), MTL App., Ex. 3.
29. Ostrovskiy claims that he verbally requested that Respondents release the Mercedes from the MTL storage facility and export it to Germany to an address previously provided to MTL for export of his other cargo, although there is no contemporaneous evidence of this request. CR/OTSC, Ostrovskiy Cert. ¶¶ 14, 15.
30. MTL customers were allowed to verbally provide shipping instructions for export of vehicles. CPFF ¶ 42; R/CPFF ¶ 42; CApp., Vol. 1, Appendix M at 19.
31. On May 9, 2013, MTL sent a message to Ostrovskiy regarding the Mercedes storage fee stating: “Your vehicle is stored in our facility for more than half a year. Invoice for storage for period from 05/04-06/05 alone[sic] with the total outstanding balance are attached. Please advise when you are planning to arrange payment for total storage outstanding and pick up your vehicle.” CPFF ¶ 20; R/CPFF ¶ 20; CApp., Vol. 1, Appendix F, Ex. A at DEF 268-DEF 271; MTL App., Ex. 1 at 3.
32. The May 9, 2013, email attached MTL “Open Invoices January 11 through May 9, 2013” for IAM & AL Group, Inc. with a total of \$900.00, for six months at \$150.00 a month and identified the container as “CAXU6911501,” the Mercedes. CPFF ¶ 20; R/CPFF ¶ 20; CApp., Vol. 1, Appendix F, Ex. A at 270.
33. It appears that the May 9, 2013, email was not received, as MTL’s evidence shows that “[d]elivery to the following recipient failed permanently.” MTL App., Ex. 1 at 1-2. In

addition, an email to “Alla” and “Dimitry” states: “This email bounced. I do not have any other email. I tried to call the client. He didn’t pick up.” MTL App., Ex. 1 at 4.

34. The May 9, 2013, email was forwarded on May 10, 2013, and that email was received by Ostrovskiy. CApp., Vol. 1, Appendix F, Ex. A; CR/RPFF ¶ 4.
35. Complainants did not pay the storage charges due for the Mercedes. RO/Sanct., Solovyeva Cert. at 1-2.
36. Alla Solovyeva, on behalf of MTL, stated that “after my company could not locate Mr. Ostrovskiy, Car Express found the customer (Middle East Asia Alfa) who paid for outstanding storage charges and the vehicle was transferred to Car Express as it is an authorized dealer so the vehicle could lawfully be exported out of the United States.” RO/Sanct., Solovyeva Cert. at 2.
37. Alla Solovyeva, on behalf of MTL, stated that “[w]hen a lien was asserted, I offered this vehicle to all my customers and dealers, and Car Express’s client, Middle East Asia Alfa, paid for the storage.” RO/Sanct., Solovyeva Cert. at 2.
38. Alla Solovyeva explained how the lien arose when she stated that the “2006 Mercedes SL65 VIN#3072 was sold pursuant to Clause 15 of the MTL House Bill of Lading . . . for unpaid freight and other charges owed by plaintiffs.” CPFF ¶ 36; RPFF ¶ 36.
39. A Copart invoice dated June 7, 2013, showing that Car Express purchased the Mercedes from Travelers Indemnity for a total of \$3,600.00, which includes a severe water damage disclosure, was not created and/or generated by Copart and “Car Express did not purchase the VIN that is Lot 26998321.” CApp., Vol. 1, Appendix H at DEF 4, DEF 15; *see also* CApp., Vol. 3, Appendix DD, Ex. B at DEF 355.
40. This June 7, 2013, Copart invoice was provided to Alexander Safonov after the Mercedes arrived in Dubai. CApp., Vol. 3, Appendix DD, Ex. B at DEF 350.
41. Aleksandr Solovyev, sole principal and officer of Car Express and RFG, stated that “Car Express and Royal finance Group were not involved with the 2006 Mercedes SL65.” CApp., Vol. 3, Appendix HH at 3.
42. The Mercedes was sold for under \$4000 in Dubai. CApp., Vol. 2, Appendix V at 10 (DEF 0061) (\$3500) *but see* CPFF ¶ 35; R/CPFF ¶ 35 (\$3,800).

### **C. Findings Related to the Porsche Panamera**

43. There are documents that suggest that the Porsche Panamera was purchased as a salvage vehicle, although it is not clear if these are reliable. Compare CApp., Vol. 2, Appendix V at 3-4 (DEF 54-DEF 55) with CApp., Vol. 3, Appendix FF, Ex. A at P0008-P0011.
44. Aleksandr Solovyev, sole principal and officer of RFG and Car Express, stated that “Car Express purchased the Porsche Panamera for \$41,940 on or about April 18, 2013, at

Plaintiff's request with financing provided by Royal Finance Group." CApp., Vol. 3, Appendix HH at 4.

45. An April 18, 2013, document shows a withdrawal of \$5,500 for a wire to IAA Buyer Wires for "STOCK #11030324" and a handwritten note that says "Ostrovsviy paid to the auction. AS." CApp., Vol. 4, Appendix JJ, Ex. G at 1 (also MTL App., Ex. 7). MTL claims that this is MTL's payment although the handwritten note suggests it was Complainants' payment. MTL App., table of contents; MTL App., Ex. 7.
46. Royal Finance Group Invoice no. 1172MO, April 20, 2013, to MAVL for the 2011 Porsche Panamera lists the description of services as follows: Car Cost: \$35,379; Delivery: \$950; Shipping to Kotka: \$700; Commission: \$3,300; Total Cost: \$40,429. CApp., Vol. 1, Appendix G, Ex. B at DEF 761.
47. An April 22, 2013, wire transfer of \$10,000, to RFG states "Panamera ML 350," which may have been payment for the Porsche Panamera but might also have been a payment for a different vehicle as the Porsche is not otherwise described as "ML 350." CApp., Vol. 4, Appendix JJ, Ex. G at 2.
48. A document dated April 23, 2013, bearing an "Insurance Auto Auctions" ("IAA") logo titled "Buyer Receipt" lists: Buyer Name and Invoice To: IAM & AI Group; Item: 2011 Porsche Panamera; *Stock No.*: 11030324; Bid Amount: \$40,500.00; Buyer Fee: \$365.00; Service Fee: \$55.00; Late Fee: \$810.00; Storage: \$100.00; Internet Fee: \$59.00; Check #/Reference No. AB 10,000.00; Total: \$41,889.00; Total Payment Amount: \$46,440.00. CApp., Vol. 3, Appendix FF, Ex. A at P0006.
49. A document with a date stamp of April 23, 2013, shows a processed wire transfer from an account number that matches the account number for RFG listed in CApp., Vol. 4, Appendix JJ (\$10,000 wire transfer to RFG dated 4/22/2013). This wire transfer is for \$36,440 to IAA Buyer Wires and references "Stock # 11030324" which matches the stock number on the IAA buyer receipt and a handwritten note says "my payment to IAAI for Porsche Panamera." CApp., Vol. 4, Appendix KK, Ex. 2 at 2. It is not clear who wrote the note but this appears to be a payment from RFG to IAA for the Porsche.
50. Both the \$5,500 withdrawal and the \$36,440 wire transfer from RFG list the same stock number that is on the IAA Buyer Receipt (11030324) and both are sent to "IAA Buyer Wires" at the same account number. It appears that this total payment of \$41,940 was paid to IAA for the Porsche Panamera. CApp., Vol. 4, Appendix JJ, Ex. G at 1; CApp., Vol. 4, Appendix KK, Ex. 2 at 2.
51. A Copart invoice dated May 28, 2013, showing that Car Express purchased the Porsche from Progressive for a total of \$21,000, which includes a severe water damage disclosure, was not created and/or generated by Copart. CApp., Vol. 1, Appendix H at DEF 4, DEF 18.
52. A Sunrise Automotive Center invoice, dated August 2, 2013, and addressed to Royal Finance Group, bills \$9,200 for repairs to the 2011 Porsche Panamera. The invoice

reflects that \$260.00 of the amount billed was paid in cash. CApp., Vol. 4, Appendix KK, Ex. 2 at 3.

53. On August 5, 2013, Royal Finance Group issued a check for \$7,936 signed by Alex Solovyev to Sunrise Automotive Center for repair of the Porsche Panamera. CPFF ¶ 35; CApp., Vol. 4, Appendix KK, Ex. 2 at 4.
54. On September 17, 2013, Royal Finance Group issued another check for \$1,000 signed by Alex Solovyev to Sunrise Automotive Center. CPFF ¶ 35; CApp., Vol. 4, Appendix KK, Ex. 2 at 6.
55. The record contains an email dated August 14, 2015, two years after the Porsche was shipped to Dubai and sold, from an employee of MTL, addressed to MAVL Capital, Inc., which attached invoice 24141 and stated:

Dear customer, your invoice is over 6 months past due, please remit payment. Please be advised that administrative and legal fees will apply. If this matter will not be settled within 7 business days, cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling. Your prompt response is highly requested. Management.

Enclosed is the invoice for inland Charges facilitated by MTL via 3rd party carriers. Please proceed with immediate payment in order to avoid shipment delays and late fees. We look forward to serving you in the future.

CApp., Vol. 3, Appendix GG at DEF 756-DEF 757 (emphasis omitted).

56. Attached to the 2015 invoice was an MTL invoice labeled 24141, addressed to MAVL, dated May 8, 2013, with a due date of May 15, 2013, listing a total of \$1,000 based on inland freight of \$850 and storage fee of \$150. CApp., Vol. 3, Appendix GG at DEF 758.
57. The record also includes an invoice from MTL to Middle East Asia Alfa FZC dated April 27, 2013, for storage fees for the Porsche Panamera from May 8, 2013, to August 21, 2013, in the amount of \$1,060, and an MTL receipt for \$1060 dated June 11, 2013. CApp./Sanct., Appendix Y at 1-2.

#### **D. General Findings of Fact**

58. Alla Solovyeva, on behalf of MTL, stated that “Cargo Express, as a lawful dealer, found the buyer for the Mercedes and Porsche, and acted as a third party between MTL and the [new] consignee.” RO/Sanct., Solovyeva Cert. at 2.
59. Clause 15 of MTL’s standard house bill of lading provides:

LIEN The Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable to the Carrier:  
(a) Under the Bill of Lading, (b) Under any other contracts with the

Merchant, including without limitation, any and all unpaid ocean freight or other charges due from or on account of any previous carriage or other services performed by the Carrier for the Merchant; (c) For expenses incurred by the Carrier for the account of the Merchant, and for General Average and salvage contributions to whomsoever due, and (d) For the costs and attorneys' fees incurred in recovering any or all of the foregoing, and for all such purposes the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant.

CApp., Vol. 1, Appendix F, Ex. E at DEF 286.

60. Respondent Alper was asked in his deposition whether it is possible to “change ownership” of vehicles before shipping and he answered: “Unless you went through court and got a lien or you paid them or, no, I don’t believe so.” CApp., Vol. 1, Appendix M at 71.
61. On August 24, 2013, the Mercedes and Porsche Panamera were shipped from the United States and sold in the United Arab Emirates pursuant to Clause 15 of the MTL House Bill of Lading’s lien clause for unpaid freight. CApp., Vol. 2, Appendix P at DEF 245; *see also* CApp., Vol. 2, Appendix S, T.
62. The house bill of lading, issued by MTL for shipping of the Mercedes SL65 and the Porsche Panamera to the UAE, lists Tretykov Andrey as the exporter; Middle East Asia Alfa, FZE (“MEAA”) as the consignee; and MTL as the forwarding agent for the Porsche Panamera and the Mercedes. CApp., Vol. 2, Appendix S at DEF 259.
63. The non-negotiable waybill issued by Maersk, for shipping of the Mercedes and the Porsche Panamera to the UAE lists MTL as the shipper and MEAA as the consignee for the Porsche Panamera and the Mercedes. CApp., Vol. 2, Appendix T at DEF 58; CPFF ¶ 52; R/CPFF ¶ 52.
64. The Automated Export System (“AES”) filing for shipment of the Mercedes and the Porsche Panamera from the United States to Dubai filed by MTL lists MTL as the freight forwarder for the shipment and Alla Solovyeva as the contact for MTL. CApp., Vol. 2, Appendix O at 6 (DEF 232); CPFF ¶ 34; R/CPFF ¶ 34.
65. Car Express was listed as the shipper and United States Principal Party in Interest (“USPPI”) on the AES filing for the export of the Mercedes and the Porsche Panamera. CApp., Vol. 2, Appendix O at 6 (DEF 232).
66. MTL was in contact with Complainants regarding other shipments, including of bobcats, in 2013. CApp., Vol. 1, Appendix F at DEF 263-DEF 265.

67. Complainant Ostrovskiy admits that various automobiles were purchased by his companies through Car Express, with the agreement that Car Express would fund a portion of the purchase price, and that the automobiles would be shipped exclusively using MTL's services. CApp., Vol. 3, Appendix II at 2.
68. Complainants admit that various automobiles shipped by their companies through MTL were also financed, in part, by MTL and Car Express, both of which directed Complainants to make payment to RFG for MTL's services. CApp., Vol. 3, Appendix II at 2.

### **III. ANALYSIS AND CONCLUSIONS OF LAW**

#### **A. Preliminary Issues**

##### **1. Jurisdiction**

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 FMC LEXIS 19, at \*33, 30 S.R.R. 991, 997-99 (FMC May 10, 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, Docket No. 99-24, 2000 FMC LEXIS 14, at \*38-42, 28 S.R.R. 1635, 1645 (FMC Oct. 31, 2000). Complainants allege a violation of the Shipping Act within the Commission's jurisdiction.

##### **2. Burden of Proof**

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 FMC LEXIS 35, at \*41 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Remand FMC*, 2021 FMC LEXIS 125, at \*4. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180, 1993 FMC LEXIS 73, at \*40 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 FMC LEXIS 19 (FMC June 13, 1994).

#### **B. Relevant Law**

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). "The term 'ocean freight forwarder' means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(19).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act’s definition of common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission’s regulations:

*Ocean transportation intermediary* means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that – (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (ii) Processes the documentation or performs related activities incident to those shipments; and
- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

*Common carrier* means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country . . . .

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

*Non-vessel-operating common carrier services* refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The complaint alleges that Respondents violated section 41102(c) of the Shipping Act, which states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

On September 7, 2018, the Commission issued a notice of proposed rulemaking “to obtain public comments on clarification and guidance regarding the Commission’s interpretation of the scope of 46 U.S.C. 41102(c).” Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018) (“NPRM”). In the notice of proposed rulemaking, the Commission stated *inter alia*:

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal*, *customary*, and *continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 Fed. Reg. at 45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a final rule adopting the September 7, 2018, notice of proposed rulemaking without change. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018) (“Final Rule”). Rule 545.4, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

### **C. Discussion**

At this point, the only remaining claims are the alleged violations of section 41102(c) for the Mercedes and Porsche vehicles. The Commission found that the “ALJ correctly dismissed as abandoned any 46 U.S.C. §§ 41104(a)(10) and § 41102(c) claims regarding the motorcycles because Complainants did not allege violations of those statutory prohibitions vis-à-vis the motorcycles.” Commission Order at 15. In addition, “the Commission affirm[ed] the ALJ’s dismissal with prejudice of the § 41104(a)(10) claim regarding the Mercedes for failure to state a claim.” Commission Order at 17. In their brief, Complainants only argued section 41102(c) claims. Complainants did not argue that any other claims remain and any such claims are deemed abandoned. Thus, the only remaining issue is whether Respondents violated section 41102(c).

The first question is whether Respondents were regulated entities with respect to the vehicles. If so, then the next question is whether the elements required to establish a violation of section 41102(c) have been met. Each question will be addressed in turn.

## **1. Whether Respondents Acted as Regulated Entities**

### **a. MTL**

The Commission found that the complaint adequately alleged that Respondent MTL was acting as a regulated entity with regard to the Mercedes. The Commission decision did not address the claims regarding the Porsche as they were not before it. To be a regulated entity under section 41102(c), MTL must have been acting as a common carrier, marine terminal operator, or ocean transportation intermediary. There is no allegation that MTL was an ocean common carrier or a marine terminal operator. Ocean transportation intermediaries may be ocean freight forwarders or NVOCCs.

The Commission discussed the relevant legal standard.

Properly framed, the question is whether Respondent MTL was a common carrier with respect to the allegations regarding the Mercedes. *See Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC No. 08-04, 2011 FMC LEXIS 9, \*39 (ALJ Mar. 9, 2011). Common carriers are defined by three traits; they: (1) hold themselves out to the general public as providing transportation by water for passengers or cargo between the United States and a foreign country; (2) assume responsibility for transporting the passengers or cargo from the port or point of receipt to the port or point of destination; and (3) use, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port. 46 U.S.C. § 40102(7) and (17); 46 C.F.R. § 515.2(e) and (k).

When dealing with alleged common carriers or NVOCCs under § 41102(c), the Shipping Act's common carrier definition forms the basis for a "fact-intensive analysis" that considers the parties' conduct and actual arrangements during the relevant time frame. *Crocus*, 1 F.M.C. 2d. [403, 415 (FMC July 16, 2019)] (citing *Worldwide Relocations—Possible Violations of the Shipping Act*, 32 S.R.R. 495, 503, 2012 FMC LEXIS 23, \*13-\*14 (FMC 2012)). The Commission's well-defined methodology for deciding common carrier status considers the totality of circumstances and their combined effect. *Worldwide*, 32 S.R.R. at 503, 2012 FMC LEXIS 23, \*13-\*14.

Here, MTL's alleged actions regarding the Mercedes meet all criteria that define a common carrier. MTL unquestionably held itself out as a common carrier; it is registered with the Commission as a licensed NVOCC and publishes an NVOCC tariff. I.D. at 3-5; MTL Tariff at 1; *see also Crocus*, 1 F.M.C. 2d at 410; *Tienshan*, 2011 FMC LEXIS 9, at \*39-\*42.

Taking Complainants' allegations as true, MTL also assumed responsibility for the Mercedes when it agreed to store it and tacitly understood that MAVL would eventually have the Mercedes shipped abroad. Compl. ¶¶ 27-29. When MTL accepted delivery of the Mercedes in early December 2012, Mr. Ostrovskiy told MTL that MAVL would eventually have the car shipped back to Germany after

inspecting it and ordering repair parts. *Id.* MTL acknowledged that the Mercedes was earmarked for export by granting MAVL the same 30 days free storage it allows cargo destined for export under its NVOCC tariff. MTL's tariff allows "30 days free storage starting from the date of arrival of the vehicle at the warehouse, in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container." MTL Tariff, Rule 2-140. According to Mr. Ostrovskiy, MAVL had an on-going business relationship with MTL Ostrovskiy Certif. ¶ 12, so MTL presumably knew that MAVL is in the vehicle export/import business and likely to ship the Mercedes abroad at some point.

Further support for MTL having assumed responsibility for transportation comes from the undisputed allegations and evidence that MTL actually shipped the Mercedes overseas as an NVOCC. Complainants allege that MTL shipped the Mercedes to Dubai. *See* Compl. ¶¶ 27-31. A bill of lading issued by Maersk for the Mercedes' shipment shows MTL listed as the shipper, which would be consistent with it acting as an NVOCC. *See* 46 U.S.C. § 40102(7) and (17).

As for the third element of the common carrier definition, Complainants allege that the Mercedes was transported between a United States port and a foreign port. Compl. ¶ 31; Ostrovskiy Certif. ¶¶ 16-17. This is further demonstrated by the Maersk bill of lading for the Mercedes.

In sum, at this stage of the proceedings, Complainants have adequately alleged that MTL was acting as an NVOCC with respect to the Mercedes.

Commission Order at 11-13 (footnotes omitted).

The Commission reviewed this proceeding prior to briefing on the merits and therefore relied on the allegations in the complaint. The proceeding has now been fully briefed and Complainants have established by a preponderance of the evidence that MTL was acting as an NVOCC with respect to both the Mercedes and the Porsche.

MTL asserts that Complainants abandoned the vehicles prior to any shipping of the vehicles and that a maritime lien applies. MTL argues that Mr. Ostrovskiy did not make efforts to repair the vehicles, that Mr. Ostrovskiy sold the Porsche so did not have title to it, that "if somebody leaves property on the yard without compensation for storage, then MTL should not be a regulated entity with respect to such property indefinitely," and that "disposing of the property as junk" does not involve shipping. Opposition at 2-4.

Complainants contend that they did not abandon the vehicles, that the repairs are not relevant to whether the vehicles were abandoned, that title did not change until the vehicles were in Dubai, and that Solovyev and Solovyeva already admitted that the vehicles were "misdelivered." Reply at 8-10.

MTL is registered with the Commission as a licensed NVOCC and publishes an NVOCC tariff, so for the reasons outlined by the Commission, MTL meets the holding out element. MTL accepts automobiles into its possession, custody, and control solely for purposes of export, and

never for storage only, CPFF ¶ 68; R/CPFF ¶ 68, so the evidence shows that MTL assumed responsibility for the vehicles when it agreed to store them pending shipment abroad. According to Mr. Ostrovskiy, MAVL had an on-going business relationship with MTL, CR/OTSC, Ostrovskiy Cert. ¶ 12, so MTL presumably knew that MAVL is in the vehicle export/import business and likely to ship the vehicles abroad. Further support for MTL having assumed responsibility for transportation comes from the admission that MTL actually shipped the vehicles overseas as an NVOCC. Commission Order at 12. The bill of lading issued by Maersk for the shipment of the Mercedes and Porsche from New York to the United Arab Emirates lists MTL as the shipper, which is consistent with it acting as an NVOCC. CApp., Vol. 2, Exhibit N; *see also* Commission Order at 12-13; 46 U.S.C. § 40102(7) and (17).

Complainants have established the final element requiring that the cargo at issue be shipped by international ocean borne transportation because MTL assumed responsibility for the vehicles with the expectation that they would be shipped overseas and because MTL did, in fact, ship the vehicles overseas, albeit not on behalf of Complainants. CApp., Vol. 2, Appendix T at DEF 58. Moreover, the invoice issued by Car Express lists the delivery destination for the Porsche as Kotka (Finland) (CApp., Vol. 1, Appendix G, Ex. B at DEF 761) and Complainant Ostrovskiy admits that various automobiles were purchased by his companies through Car Express, with the agreement that the automobiles would be shipped exclusively using MTL's services. CApp., Vol. 3, Appendix II at 2. Similarly, Complainants explained that the Mercedes was to be shipped back to Germany by MTL on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts. CR/OTSC, Ostrovskiy Cert. ¶ 10. MTL accepts automobiles into its possession, custody, and control solely for purposes of export, and never for storage only. CPFF ¶ 68; R/CPFF ¶ 68.

Accordingly, the evidence supports a finding that MTL was a regulated entity with regard to both the Porsche and the Mercedes.

#### **b. Mr. Alper**

Complainants alleged in their complaint: that "the closeness of [the] relationships [between Alper and MTL] indicates that individual respondent Alper is the alter ego of the corporate entity [MTL] and piercing the corporate veil is necessary to avoid injustice and fundamental unfairness;" that "at all times relevant to the instant lawsuit, respondents MTL and Alper were united in interest such that they are one and the same;" that Mr. Alper performed the functions of an NVOCC; and that "Alper knowingly and intentionally used the corporate form of respondent MTL to perpetrate tortious and other wrongful conduct against the Complainants." Complaint at 2-3.

The Commission Order states:

On remand, the ALJ may also need to address whether and on what basis the Complainants can pursue a § 41102(c) claim against Mr. Alper. Section 41102(c) governs the conduct of regulated entities, not individuals. Complainants allege that Mr. Alper acted as MTL's alter ego, that their actions are one and the same, and that it would be unjust not to pierce the corporate veil and hold him accountable for alleged Shipping Act violations. Compl. ¶¶ 12-16.

Commission Order at 13 n.10.

No party addressed the allegations against Mr. Alper in their remand filings. Although Complainants incorporated portions of the Commission Order, including the Commission's statement in the above footnote, in their remand brief, they failed to brief any of their allegations or alter ego claims against Respondent Alper or to present any evidence supporting those claims. Mr. Alper has not submitted any recent filings in this proceeding.

"[F]ailure to brief and argue [an] issue during the proceedings is grounds for finding that the issue has been abandoned." *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000) (internal citations omitted). Accordingly, Complainants are deemed to have abandoned their claims against Respondent Alper. In addition, Mr. Alper could not be liable for a violation of section 41104 as the evidence does not support a finding that he was acting as a regulated entity, but rather as an employee of MTL. The claims against Respondent Alper are therefore dismissed with prejudice. The analysis of the section 41102(c) elements will focus only on Respondent MTL.

## **2. Section 41102(c) Elements**

To establish a violation of section 41102(c), a complainant must demonstrate that the respondent is a regulated entity; the claimed acts or omissions occurred on a normal, customary, and continuous basis; the practice or regulation is connected with receiving, handling, storing, or delivering property; the practice or regulation is unjust or unreasonable; and the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4. Each element is discussed below.

### **a. MTL Acted as an OTI**

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act. As discussed above, the evidence establishes that MTL acted as an NVOCC and a regulated entity with regard to both the Mercedes and the Porsche. An NVOCC is a type of OTI. 46 U.S.C. § 40102(20). Accordingly, the evidence establishes that MTL acted as an OTI as required for the first element.

### **b. Normal, Customary, and Continuous Basis**

Complainants allege that "Respondents' acts and omissions with regard to the Mercedes and Porsche that violated the Shipping Act are occurring on a normal, customary, and continuous basis" and that "it has been and continues to be the business model of MTL" to fail to observe just and reasonable practices. Brief at 1, 55. Complainants assert that MTL's violations were not limited to a single incident but rather part of the routine practice, pointing to two prior Commission cases. Brief at 55-57. Complainants argue that MTL failed to provide an accounting of charges for either vehicle and that MTL lacked "any legal basis for exporting the Mercedes and Porsche to Dubai." Brief at 59-61.

MTL contends that there is no evidence that the conduct complained of amounts to a practice by MTL done in a customary and continuous manner. Opposition at 5. Rather, MTL asserts that “Mr. Ostrovskiy abandoned his property all over Europe, causing MTL to sustain money damages — he then sells the property that he does not have in his inventory to third parties, disappears, closes his companies, and then seeks reparations for allegedly converting his property that he abandoned.” Opposition at 7.

Complainants have the burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis and thus were a regulation or practice by Respondent. As explained below, the record supports a finding that MTL failed to provide sufficient notice or legal process and unreasonably liquidated the Porsche and Mercedes and that such acts were part of MTL’s business model and normal business practices.

The evidence shows that Complainants provided the Mercedes and Porsche to MTL with the expectation that the vehicles would be exported. The vehicles were, in fact, exported, however, they were not exported on behalf of Complainants. Rather, the vehicles were sold overseas to cover storage fees without sufficient notice to Complainants that the vehicles were considered junk or abandoned, that they would be subject to a lien, or that the vehicles would be disposed of and liquidated.

MTL asserts that it liquidated the vehicles because they were abandoned and based upon the terms of its house bill of lading which provided, in part, that “the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant.” CApp., Vol. 1, Appendix F, Ex. E at DEF 286. Indeed, the evidence shows that the vehicles were sold by private sale without legal process or sufficient notice to the shipper (Complainants) which is consistent with this language in the house bill of lading. Moreover, MTL does not assert that this was a mistake or an isolated incident, rather, MTL contends that it was entitled to sell the vehicles to cover storage fees. Opposition at 7.

MTL did not issue a bill of lading to the Complainants for these shipments because MTL did not ship the vehicles for Complainants, but rather as part of the liquidation process. Therefore, the record does not contain the lien provision applicable to this shipment for Complainants. However, MTL relied on its bill of lading provision which is printed on other bills of lading. See CApp., Vol. 1, Appendix F, Ex. E at DEF 286. MTL’s bill of lading provisions identify MTL’s normal business practices and this provision may limit alternative avenues of redress for this claim. See, e.g., *Poppy Tex & Designs, Inc. v. Cont’l Logistic Serv.*, 2020 U.S. Dist. LEXIS 235045, at \*14-15 (C.D. Cal. Oct. 20, 2020) (“Pursuant to the parties’ contract, CLS had the option to enforce liens ‘by public or private sale and without notice.’”). Moreover, such provisions may discourage shippers from filing valid claims.

These types of normal business practices are appropriately adjudicated under section 41102(c) as practices that “negatively affect the broader shipping public.” Final Rule, 83 Fed. Reg. at 45368. Indeed, it appears that MTL is not alone in including language in its bills of lading permitting the sale of cargo without notice. See *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2012 FMC LEXIS 33, at \*30 (ALJ Aug. 14, 2012), *aff’d* 2013 FMC LEXIS 37 (FMC Oct. 31, 2013) (“The Carrier shall have a lien on the Goods . . . and for that purpose

shall have the right to sell the Goods by public auction or private treaty without notice to the Merchant.”); *Waterman Steamship Corp. v. General Foundries Inc.*, 1993 FMC LEXIS 73, at \*45-46 (“The carrier shall have a lien on the goods, which shall survive delivery, for all freight, charges, and sums referred to herein, and may enforce this lien by public or private sale and without notice” but noting that “[w]hether all of the above provisions would be enforceable in a court of law may be argued.”).

Complainants also contend that “rules created by administrative agencies should only possess a prospective effect. Accordingly, if the interpretive rule were to be applied retroactively to MTL’s activity complained herein, MTL would effectively be rewarded for its behavior.” Brief at 56-57. The Commission, in *Crocus Remand FMC*, thoroughly discussed the retroactivity of this Final Rule, finding that “§ 545.4 is not impermissibly retroactive as applied to Crocus’s § 41102(c) claim for reparations.” *Crocus Remand FMC*, 2021 FMC LEXIS 125, at \*6-14. The same logic would apply to this proceeding and it is therefore appropriate to apply Commission Rule 545.4 to this proceeding.

MTL asserts that collateral estoppel applies because the “concept of ‘continuity’ was already litigated in Federal Court . . . when the Complainants here made allegations under the ‘RICO’ statute as to the same property” and that issue was resolved in MTL’s favor. Opposition at 5. Complainants do not directly respond to this argument.

Under the doctrine of collateral estoppel, also known as issue preclusion, “if an issue of fact or law was actually litigated and determined by a valid and final judgment, the determination is conclusive in a subsequent action between the parties, whether on the same or a different claim.” *Hecht v. Puerto Rico Mar. Shipping Auth.*, 26 S.R.R. 1327, 1332 (ALJ 1994). Although different courts define the elements of issue preclusion differently, the Eighth Circuit provides a useful framework:

[I]ssue preclusion has five elements: (1) the party sought to be precluded in the second suit must have been a party, or in privity with a party, to the original lawsuit; (2) the issue sought to be precluded must be the same as the issue involved in the prior action; (3) the issue sought to be precluded must have been actually litigated in the prior action; (4) the issue sought to be precluded must have been determined by a valid and final judgment; and (5) the determination in the prior action must have been essential to the prior judgment.

*Ginters v. Frazier*, 614 F.3d 822, 826 (8th Cir. 2010). Regardless of how the elements are delineated, collateral estoppel only bars relitigation of issues that were actually decided in a previous action. *See Martin v. Dep’t of Justice*, 488 F.3d 445, 454 (D.C. Cir. 2007). The party asserting issue preclusion bears the burden of establishing its elements. *Taylor v. Sturgell*, 553 U.S. 880, 907 (2008).

*Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 FMC LEXIS 43, at \*102-103 (FMC Dec. 18, 2015).

In the related case before the Eastern District of New York, the court dismissed Shipping Act claims as more appropriately raised before the Commission and dismissed Racketeer Influenced and Corrupt Organizations Act (“RICO”) claims for failure to allege a pattern of racketeering. *MAVL Capital Inc. v. Marine Transport Logistics Inc.*, 130 F. Supp. 3d 726, 731-33 (E.D.N.Y. 2015). To prove “continuity” in RICO cases, “it must be shown that the predicates themselves amount to, or that they otherwise constitute a threat of, *continuing* racketeering activity. Continuity is both a closed- and open-ended concept, referring either to a closed period of repeated conduct, or to past conduct that by its nature projects into the future with a threat of repetition.” *Adler v. Loyd*, 496 F. Supp. 3d 269, 279 (D.D.C. 2020) (citing *H.J. Inc. v. N.W. Bell Tel. Co.*, 492 U.S. 229, 240-41 (1989)) (emphasis in original, internal quotations omitted). This federal RICO continuity requirement is not the same as the interpretive rules’ requirement that the claimed acts or omissions of the regulated entity are a regulation or practice occurring on a normal, customary, and continuous basis in section 41102(c) Shipping Act claims. Because the issue sought to be precluded here is not the same as the issue involved in the federal court proceeding, collateral estoppel does not apply.

The evidence thus establishes that MTL’s conduct is occurring on a normal, customary, and continuous basis and is a part of MTL’s normal business practices or business model. Accordingly, this element required to demonstrate a section 41102(c) violation is also demonstrated.

**c. Connected with Receiving, Handling, Storing, or Delivering Property**

Complainants assert that the alleged violations are directly related to and connected with the receiving, handling, storing, and/or delivering of property as the Mercedes was stored in anticipation of shipment by MTL back to Germany and the Porsche was purchased to be shipped to Kotka. Brief at 57-61. MTL asserts that the vehicles were abandoned but does not contest that the alleged violation is connected with receiving, handling, storing, or delivering property. Opposition at 5-6.

This dispute centers on the receiving, handling, storing, or delivering of the vehicles. The evidence shows that in December 2012, Complainants engaged MTL to act as their receiving agent after importing the Mercedes from Germany and to store the Mercedes so that maintenance could be performed on it before shipping it back to Germany. CR/OTSC, Ostrovskiy Cert. ¶ 7. The evidence further shows that on April 20, 2013, Royal Finance Group issued an invoice to MAVL for the 2011 Porsche, which included shipping to Kotka, Finland in the description of services, indicating that the vehicle was being held for export. CApp., Vol. 1, Appendix G, Ex. B at DEF 761. On or about August 24, 2013, the Porsche was shipped from the United States and sold in the United Arab Emirates. CApp., Vol. 2, Appendix P at DEF 245. Accordingly, the evidence shows that the alleged violation involved receiving and storing the vehicles in anticipation of export and was connected to receiving, handling, storing, or delivering both the Mercedes and the Porsche.

#### **d. Unjust and Unreasonable**

The complaint alleges that MTL “failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title [to] this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.” Complaint ¶¶ 33, 43; *see also* CR/OTSC, Ostrovskiy Cert. ¶¶ 5-6.

Complainants assert that MTL’s conduct was unjust and unreasonable, arguing that there was a lack of a legal basis for exporting the vehicles to Dubai, a failure to provide invoices and statements of account, failure to provide the status of the Porsche for over two years, failure to provide notices regarding storage charges, failure to provide information about the Mercedes when Mr. Ostrovskiy visited MTL’s facility, and a failure to provide a statement of account as to how the monies realized from the alleged sale were applied to Complainants’ account. Brief at 61-62.

MTL contends that Mr. Ostrovskiy abandoned the vehicles, noting that there are no emails regarding storing, repairing, or shipping the Mercedes, and arguing that MTL cannot store vehicles for free and had no choice but to find a dealer who would cover outstanding storage. Opposition at 2-4.

A recent appellate case described the historical basis for maritime liens on cargo.

A maritime lien is “a privileged claim upon maritime property . . . arising out of services rendered to or injuries caused by that property.” 1 Thomas J. Schoenbaum, *Admiralty and Maritime Law* § 9-1 (3d ed. 2001). It “attaches simultaneously with the cause of action,” and it is a right against the property in rem. *Id.*

If a shipper refuses to pay the full freight, the carrier may lawfully withhold the cargo. *See The Bird of Paradise*, 72 U.S. (5 Wall.) 545, 554, 18 L. Ed. 662 (1866) (“Ship-owners, unquestionably, as a general rule, have a lien upon the cargo for the freight, and consequently may retain the goods after the arrival of the ship at the port of destination until the payment is made.”); *see also Gilbert Imported Hardwoods, Inc. v. 245 Packages of Guatambu Squares*, 508 F.2d 1116, 1122 (5th Cir. 1975). And in fact, if it is to preserve its lien, the carrier *must* withhold the cargo: unlike an ordinary maritime lien, a vessel owner’s lien on cargo for unpaid freight is “possessory,” i.e., it “continues only so long as the cargo remains in the owner’s actual or constructive possession.” *Beverly Hills Nat’l Bank & Trust Co. v. Compania De Navegacion Almirante S.A.*, 437 F.2d 301, 304 (9th Cir. 1971).

*Hawspere Shipping Co. v. Intamex, S.A.*, 330 F.3d 225, 230 n.3 (4th Cir. 2003); *see also World Imports, Ltd. v. OEC Group New York*, 820 F.3d 576, 583 (3d Cir. 2016).

As the Supreme Court stated in *The Bird of Paradise*, liens on cargo may arise out of contracts to pay freight. *The Bird of Paradise*, 72 U.S. at 554; *see also* 2 Thomas A. Russell,

*Benedict on Admiralty* § 44, at 3-50 n.2 (7th ed. rev. 2010). “Legal effect of such a lien is, that the ship-owner, as carrier by water, *may retain the goods until the freight is paid, or he may enforce the same by a proceeding in rem in the District Court.*” *The Bird of Paradise*, 72 U.S. at 555 (emphasis added); see also *Eddy*, 72 U.S. (5 Wall.) 481, 494 (1867) (either party “may enforce his lien by a proceeding in rem in the District Court” although “the shipowner usually finds an adequate remedy by retaining the goods until the freight and charges are paid.”).

Where the contract is to carry by water from port to port an actual delivery of the goods into the possession of the owner or consignee, or at his warehouse, is not required in order to discharge the carrier from his liability. He may deliver them on the wharf; but *to constitute a valid delivery there the master should give due and reasonable notice to the consignee*, so as to afford him a fair opportunity to remove the goods, or put them under proper care and custody. When the goods, after being so discharged and the different consignments properly separated, are not accepted by the consignee or owner of the cargo, the carrier should not leave them exposed on the wharf, but should store them in a place of safety, *notifying the consignee or owner that they are so stored, subject to the lien of the ship for the freight and charges*, and when he has done so he is no longer liable on his contract of affreightment.

*Eddy*, 72 U.S. at 495 (emphasis added).

The Federal Bills of Lading Act (FBLA or Pomerene Act), 49 U.S.C. § 80109, governs bills of lading issued in the United States. It provides that a common carrier that issues a bill of lading has the right to assert a lien for the goods listed in that specific bill of lading.

A common carrier issuing a negotiable bill of lading has a lien on the goods covered by the bill for — (1) charges for storage, transportation, and delivery (including demurrage and terminal charges), and expenses necessary to preserve the goods or incidental to transporting the goods after the date of the bill; and (2) other charges for which the bill expressly specifies a lien is claimed to the extent the charges are allowed by law and the agreement between the consignor and carrier.

49 U.S.C.S. § 80109. This Act is not enforced by the Commission. *Bimsha Int’l v. Chief Cargo Services, Inc.*, Docket No. 10-08, 2013 FMC LEXIS 32, at \*14 (FMC Sept. 4, 2013).

Maritime liens on cargo have been recognized by the Commission.

A carrier can withhold delivery of cargo to compel the shipper to pay freight money that is lawfully owed and has a cargo lien which the carrier can assert if necessary, which lien the carrier loses if it surrenders the cargo. See *Johnson Products Co., Inc. v. M/V Molinera*, 628 F.Supp. 1240, 1248 (S.D.N.Y. 1986); Gilmore and Black, *The Law of Admiralty* (2d ed.) sec. 3-45; 70 Am Jur 2d, Shipping, sec. 793. Conversely, if a shipper or consignee induces the carrier to surrender the cargo and thus lose its lien, and thereafter refuses to pay the lawful freight money owed because the shipper or consignee has outstanding disputes

with the carrier on earlier unrelated shipments, and withholds payment of the lawful freight as a means to coerce the carrier to settle the disputes on earlier unrelated shipments, the shipper or consignee has acted unlawfully, in violation of section 10(a)(1) of the 1984 Act. *See Waterman Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173 (I.D.), affirmed with slight modifications, 26 S.R.R. 1424 (1994). Thus, disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.

*Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, Docket No. 02-12, 29 S.R.R. 1338, 1356 n.14, 2003 FMC LEXIS 12, at \*29 (ALJ Jan. 8, 2003), admin. final Feb. 12, 2003. The Commission has stated that each bill of lading is a separate transaction under the Shipping Act “and the merits of each claim must be considered in toto and independent of claims under any other bill of lading.” *Colgate Palmolive Co. v. The Grace Line*, 14 S.R.R. 600, 602 (FMC 1974).

MTL’s house bill of lading, which identifies MTL’s normal and customary practices and regulations, provides:

LIEN The Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable to the Carrier: (a) Under the Bill of Lading, (b) Under any other contracts with the Merchant, including without limitation, any and all unpaid ocean freight or other charges due from or on account of any previous carriage or other services performed by the Carrier for the Merchant; (c) For expenses incurred by the Carrier for the account of the Merchant, and for General Average and salvage contributions to whomsoever due, and (d) For the costs and attorneys’ fees incurred in recovering any or all of the foregoing, and *for all such purposes the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant.*

CApp., Vol. 1, Appendix F, Ex. E at DEF 286 (emphasis added).

MTL may have been entitled to assert a lien for unpaid storage charges and liquidate the vehicles. Assuming MTL was entitled to assert a lien, the lien was not exercised in a commercially reasonable manner. A prior case discussed the issue of whether ITLC, an ocean freight forwarder, asserted a lien and liquidated cargo in a reasonable manner.

The evidence establishes that even if ITLC could have legally placed a lien on the containers, that the liquidation did not occur in a commercially reasonable manner. ITLC placed one advertisement in their own office, but did not obtain an inventory of goods, conduct a public auction, or attempt to obtain fair market value for the shipments. ITLC failed to notify Complainants regarding the date, location, or other details of the liquidation. There is no evidence in the record that the Complainants were specifically notified that the partial payment received was insufficient, although there is evidence that Complainants had promised to submit

the full amount. In addition, Complainants were not notified of the liquidation, even as they continued making payments in late March and early April. Complainants did not find out about the liquidation until after they traveled to Poland to pick up the containers. The manner in which the liquidation of all three containers was conducted was not reasonable.

Moreover, the evidence shows that ITLC failed to provide full and accurate information to Complainants, including failing to provide details of the liquidation and failing to advise of the sale or provide copies of the revised bills of lading, in violation of Commission regulations. 46 C.F.R. § 515.32(c) (requiring freight forwarders to not withhold “any information concerning a forwarding transaction from its principal” and to “exercise due diligence to assure that all information provided to its principal or provided in any export declaration, bill of lading, affidavit, or other document which the licensed freight forwarder executes in connection with a shipment is accurate”); *see also* Remand, 32 S.R.R. at 1742. The failure to fully advise the Complainants of the liquidation and status of their containers was not reasonable.

There is no evidence that ITLC established just and reasonable regulations and practices for handling shipments for which they did not receive payment or that were not picked up timely. ITLC did not identify the legal basis for its liquidation of the three containers. ITLC did not establish that it paid any storage charges or possessed the containers, or that a warehouseman lien would apply. ITLC has not argued that it could take advantage of the liquidation provision in the Limco bills of lading, and even if it could, the liquidation was not conducted at public auction, as required by the Limco bills of lading. As the Commission indicated, destination agent Baltic Sea Logistics’ “pressure for storage charges cannot justify the liquidation of Complainants’ three containers by ITLC, a freight forwarder, without any legal rights, court’s order, or Complainants’ authorization.” Remand, 32 S.R.R. at 1742.

*Kobel v. Hapag-Lloyd*, Docket No. 10-06, Remand Initial Decision at 8-9, 33 S.R.R. 594 (ALJ July 30, 2014) *aff’d* 2015 FMC LEXIS 6, at \*6-7 (FMC May 26, 2015) (finding that “ITLC has failed to show credible evidence that it had any legal basis to liquidate Complainants’ three containers and the cargoes therein without Complainants’ consent or authorization.”)

In this case, MTL was not a freight forwarder but an NVOCC. As such, it assumed responsibility for the cargo and may have been entitled to exert a lien. *Logistics Mgmt. v. One Pyramid Tent Arena*, 86 F.3d 908, 914 (9th Cir. 1996) (“NVOCCs have an *in rem* maritime lien for unpaid freight against the cargo they are responsible for transporting”). In addition, the MTL house bill of lading expressly provides for liens on cargo. However, there is no contemporaneous evidence that such a lien was properly executed, no notice to Complainants regarding MTL’s exertion of the lien or intent to liquidate the cargo, no good faith, commercially reasonable procedures followed, and no legal process.

The Uniform Commercial Code provides guidance on commercially reasonable practices when exercising a lien. “A carrier has a lien on the goods covered by a bill of lading for charges

subsequent to the date of its receipt of the goods for storage or transportation (including demurrage and terminal charges) and for expenses necessary for preservation of the goods incident to their transportation or reasonably incurred in their sale pursuant to law.” U.C.C. § 7-307(1) (1977).

A carrier’s lien on goods may be enforced by public or private sale of the goods, in bulk or in packages, at any time or place and on *any terms that are commercially reasonable, after notifying all persons known to claim an interest in the goods. The notification must include a statement of the amount due, the nature of the proposed sale, and the time and place of any public sale.* The fact that a better price could have been obtained by a sale at a different time or in a method different from that selected by the carrier is not of itself sufficient to establish that the sale was not made in a commercially reasonable manner. The carrier sells goods in a commercially reasonable manner if the carrier sells the goods in the usual manner in any recognized market therefor, sells at the price current in that market at the time of the sale, or otherwise sells in conformity with commercially reasonable practices among dealers in the type of goods sold. A sale of more goods than apparently necessary to be offered to ensure satisfaction of the obligation is not commercially reasonable, except in cases covered by the preceding sentence.

U.C.C. § 7-308 (emphasis added). Moreover, “[b]efore any sale pursuant to this section, any person claiming a right in the goods may pay the amount necessary to satisfy the lien and the reasonable expenses incurred in complying with this section. In that event, the goods may not be sold but must be retained by the carrier, subject to the terms of the bill of lading and this article.” U.C.C. § 7-308(b). “A carrier may satisfy its lien from the proceeds of any sale pursuant to this section but shall hold the balance, if any, for delivery on demand to any person to which the carrier would have been bound to deliver the goods.” U.C.C. § 7-308(e).

Regarding the Mercedes SL65, the evidence shows that Complainants stored the Mercedes at MTL’s warehouse in expectation of shipping it to Germany. The evidence includes an email dated January 11, 2013, from MTL to IAM & IL Group, Inc., with a subject line of “CAXU6911501 storage fee invoice,” presumably for the Mercedes, which states that “Invoice for storage fee is attached. Next invoice for \$150 will be generated on 2/03.” MTL App., Ex. 1 at 5.

The evidence includes a second email dated May 9, 2013, from Natalia at MTL to IAM & AL Group, Inc. with a subject referring to storage fee for “06 mb”, presumably the Mercedes, which stated that “Your vehicle is stored in our facility for more than half a year. Invoice for storage for period from 05/04-06/05 alone[sic] with the total outstanding balance are attached. Please advise when you are planning to arrange payment for total storage outstanding and pick up your vehicle.” MTL App., Ex. 1 at 3. It appears that this email was received by Complainants when forwarded on May 10, 2013. The email attached MTL “Open Invoices January 11 through May 9, 2013” for IAM & AL Group, Inc. with a total of \$900.00, for six months at \$150.00 a month. CApp., Vol. 1, Appendix F, Ex. A at 270.

MTL submitted an appendix, with exhibit 1 labeled as “MTL’s documented efforts to contact the Complainants.” This exhibit includes the two emails regarding the Mercedes, dated January 11, 2013, and May 10, 2013. MTL App., Ex. 1. No additional attempts to contact Complainants regarding the Mercedes are part of the record, although MTL was in contact with Complainants regarding other shipments, including of bobcats, in 2013. CApp., Vol. 1, Appendix F at DEF 263-DEF 265.

The only email in the record regarding the Porsche was dated two years after the Porsche was shipped to Dubai. The August 14, 2015, email from MTL to MAVL Capital stated:

If this matter will not be settled within 7 business days, cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling. Your prompt response is highly requested. Management.

Enclosed is the invoice for inland Charge facilitated by MTL via 3rd party carriers. Please proceed with immediate payment in order to avoid shipment delays and late fees. We look forward to serving you in the future.

CApp., Vol. 3, Appendix GG at DEF 756-DEF 757 (emphasis omitted).

This 2015 email demonstrates that MTL knew it had an obligation to notify Complainants prior to auctioning or abandoning cargo. However, this attempt to provide notice two years after the vehicle was sent overseas to another buyer is not sufficient. Moreover, the evidence does not establish that invoice 24141 for the Porsche was provided to Complainants in a timely fashion. CApp., Vol. 3, Appendix GG at DEF 758.

The evidence does not show any other demands from MTL to Complainants for payment of the storage fees. To the extent other documents would have been helpful, they should have been disclosed in discovery, included in the appendix, and discussed in MTL’s opposition brief. Even if the emails in January and May of 2013 regarding the Mercedes or similar emails for the Porsche reached Complainants, that would not be sufficient notice. The evidence does not show any attempts to notify Complainants of the imposition of a lien, nor that the vehicles would be considered abandoned or junk and liquidated prior to disposing of the vehicles.

The Demurrage and Detention Final Rule applies to “the use of marine terminal space (e.g., land) or shipping containers” for “containerized cargo” and would not apply to the off-port storage of these vehicles prior to export. 46 C.F.R. § 545.5(b). However, the principles identified in the Demurrage and Detention Final Rule are instructive and persuasive. Among the principles identified are that “the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity” and “the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.” 46 C.F.R. § 545.5(c). The Demurrage and Detention Final Rule notes that on December 3, 2018, the Fact Finding Officer found that: “[d]emurrage and detention are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly from ports and marine terminals” and “[f]ocusing port and marine terminal

operations on notice of actual cargo availability would achieve the goals of demurrage and detention practices and improve the performance of the international commercial supply chain.” Demurrage and Detention Final Rule at 7 (citing Final Report at 32).

Providing reasonable notice to cargo owners that their cargo may be considered abandoned, subject to a lien, and liquidated would promote freight fluidity, encourage the retrieval of cargo, incentivize cargo interests to move cargo promptly, and improve the performance of the international commercial supply chain. Indeed, the evidence shows that Maxim Ostrovskiy visited MTL’s headquarters in 2012 or 2013 in part because he was concerned about the status of the Mercedes. The Commission has previously found that failure to show credible evidence of a legal basis to liquidate containers without the shipper’s consent or authorization establishes a violation of section 41102(c). *Kobel*, 2015 FMC LEXIS 6, at \*6-7. Failure to provide sufficient notice of abandonment, lien, or liquidation is not a reasonable business practice. The record demonstrates a failure to utilize appropriate legal process or to notify Complainants with a statement of the amount due, the nature of the proposed sale, and the time and place of any public sale. Moreover, MTL does not provide any cases supporting the sale of cargo without notice and legal process.

MTL did not enforce a lien by a proceeding in rem in the District Court or take other legal action to enforce a lien. When Respondent Alper was asked whether it is possible to “change ownership” of vehicles before shipping and he answered: “Unless you went through court and got a lien or you paid them or, no, I don’t believe so.” CApp., Vol. 1, Appendix M at 71. The record does not show that MTL utilized appropriate legal process to enforce the lien on the vehicles. Quite the contrary, the evidence shows the existence of Copart invoices that were “not created and/or generated by Copart” but which facilitated the shipment and overseas sale of the vehicles. CApp., Vol. 1, Appendix H at DEF 4, DEF 15, DEF 18; *see also* CApp., Vol. 3, Appendix DD, Ex. B at DEF 355, DEF 350.

The Commission has not issued specific guidance regarding what is required to properly exercise a maritime lien or to consider cargo as junk or abandoned. Indeed, the question of appropriate notice prior to considering cargo abandoned has occurred in other cases as well. *See Kobel*, 2015 FMC LEXIS 6, at \*6-7. Clearly, however, the shipping public is entitled to at least some notice before cargo is considered abandoned or a lien is imposed. In this case, MTL provides two emails regarding storage charges for the Mercedes and no notice prior to exporting and selling the Porsche. There is no evidence that MTL made any timely attempt to warn Complainants that the cargo would be considered abandoned, a lien imposed, or the cargo liquidated. Failure to warn of potential abandonment, lien, or liquidation of cargo is clearly not sufficient notice.

Moreover, MTL contends that it had “no choice but to find a dealer who would cover outstanding storage.” Remand Opposition at 4. However, the vehicles could have been held for longer than six months as was done in the related case in Docket No.15-04, where MTL stored boats for a whole year – double the amount of time that the Mercedes was stored. In addition, around this time, MTL transported bobcats to Kotka, Finland, the anticipated destination for the Porsche on behalf of Complainants. CApp., Vol. 1, Appendix F at DEF 263-DEF 265. So, it appears that the parties were in contact during this time and that additional efforts could have been made to notify Complainants before liquidating the vehicles.

MTL also impugns Complainants, alleging a variety of problems with their business practices. However, Complainants' relationships with their customers and their business practices are not a defense that would absolve MTL of its responsibility to handle shipments entrusted to it within the requirements of the Shipping Act.

The vehicles were received for export shipment. While MTL is not expected to store the vehicles for free, the record supports a finding that liquidating the vehicles without sufficient notice and legal process is unreasonable. Complainants have established that liquidating the vehicles without sufficient notice or legal process was unjust and unreasonable and have met the section 41102(c) requirement to establish that MTL's action were unreasonable.

#### **e. Proximate Cause of Loss**

Complainants allege that after the Mercedes and Porsche were placed into MTL's possession, custody, and control, they were exported to Dubai and sold by MTL. Brief at 63. MTL does not deny that the vehicles were sold but rather argues that the vehicles were abandoned so that "MTL had no choice but to find a dealer who would cover outstanding storage." Opposition at 4. Complainants have established this element as the failure to deliver the vehicles, liquidation without sufficient notice or legal process, and sale to an unrelated party were the proximate cause of the loss. Accordingly, Complainants have established by a preponderance of the evidence that MTL violated the Shipping Act.

### **3. Reparations**

The Commission has jurisdiction over this claim because MTL was acting as a regulated entity when it assumed responsibility for the vehicles. Moreover, Complainants established all elements of a 41102(c) claim, including that the conduct was unreasonable and that the unreasonable conduct was a normal business practice. Therefore, Complainants demonstrated all of the interpretive rules' required elements for successfully establishing a section 41102(c) claim for reparations. The remaining issue is whether reparations should be ordered and, if so, the amount.

Pursuant to section 11(g) of the Shipping Act, if the complaint was filed within three years after the claim accrues, "the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part." 46 U.S.C. § 41305(b).

Commission case law states that: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation." *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); *see also James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, Docket No. 94-2, 30 S.R.R. 8, 13, 2003 FMC LEXIS 30, at \*16 (FMC Aug. 26, 2003).

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with

reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

*Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, Docket No. 81-57, 26 S.R.R. 788, 798-799, 1992 FMC LEXIS 86, at \*52-53 (ALJ Nov. 23, 1992) (Admin. final 1992).

The complaint requests “[d]irect damages in excess of \$180,000.00 constituting the amounts paid for the purchase of the vehicles plus additional consequential damages for sums arising out of lost contracts, plus interest.” Complaint at 9. In their brief, Complainants seek \$48,500, based on the US Customs decelerated value of the Mercedes plus \$67,000, based on a contract for sale of the Porsche, plus \$10,000 paid to RFG for ocean freight and other charges. Brief at 63. MTL suggests that Complainants should not be awarded reparations. Opposition at 2-3.

The evidence shows that the Mercedes SL65 was purchased in Germany and imported in November of 2012. CR/OTSC, Ostrovskiy Cert ¶ 2; CApp., Vol. 3, Appendix FF, Ex. A at P0020-P0023. It is possible that Complainants paid for the Mercedes in Germany and paid the shipping costs from Germany. However, it is also possible that someone else paid the purchase price and shipping fees. It is possible that Complainants wired \$5,500 to IAA on April 18, 2013, and \$10,000 to RFG on April 22, 2013, for the Porsche Panamera as they claim. CApp., Vol. 4, Appendix JJ, Ex. G at 1; CApp., Vol. 4, Appendix JJ, Ex. G at 2. However, it is also possible that those payments were made by someone else or were for a different shipment. For example, it is possible that RFG paid IAA for the Porsche and that RFG financed part, if not all, of the purchase and repairs of the Porsche. CApp., Vol. 4, Appendix KK, Ex. 2 at 2; CApp., Vol. 3, Appendix II at 2. Complainants conducted their business with limited written documentation, including making verbal requests and agreements. As a consequence, Complainants have a harder time providing evidence to establish actual injury.

The evidence supports Complainants’ argument that the loss of the Mercedes and Porsche vehicles were caused by MTL’s violation of the Shipping Act. However, Complainants have the burden to establish actual injury caused and the evidence is not sufficient to impose reparations. If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Director v. Greenwich Collieries*, 512 U.S. 267, 281 (1994). Because there is not sufficient evidence or documentation to support the reparations requested, no reparations can be awarded.

Complainants point to other ways to value the vehicles, such as the customs declaration and contract for sale. However, reparations are only available for actual injury, so estimates of value such as on a customs declaration would not be a basis for reparations. In addition, contracts for sale for a vehicle that was damaged and which a buyer had never seen are too speculative to

support a reparations award. Accordingly, Complainants have not established that they are entitled to reparations.

#### **IV. ORDER**

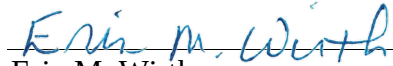
Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that MTL violated the Shipping Act, 46 U.S.C § 41102(c), it is hereby

**ORDERED** that the complaint filed by MAVL Capital Inc., IAM & AL Group Inc., and Maxim Ostrovskiy be **GRANTED IN PART AND DENIED IN PART**. It is

**FURTHER ORDERED** that the claims against Respondent Alper be **DISMISSED**. It is

**FURTHER ORDERED** that the claims against Respondent MTL be **GRANTED** but that no reparations be awarded to Complainants. It is

**FURTHER ORDERED** that any other pending motions or requests be **DISMISSED AS MOOT**.



Erin M. Wirth  
Chief Administrative Law Judge